Karanam watched a wave of companies raise funds to build small rockets and eventually decided to focus on propulsion instead. "That's when we realised, since SpaceX is building reusable launch vehicles, companies which have raised like $50 million each, most of them are going out of business," says Karanam. "So that's when we thought, let us not do both launch vehicles and propulsion, let us stick to just propulsion."



"We have got a lot of good traction from the global market. Most of our money is coming from export orders right now, and we are in the process of scaling up manufacturing"

YASHAS KARANAM
CO-FOUNDER & COO, BELLATRIX AEROSPACE

In the era before reusability, a single launch could cost tens of millions of dollars. Falcon 9 pushed costs towards roughly $2,500–3,000 per kg, says Digantara's Sharma. "If that wouldn't have happened, I don't think we would have had any company launching satellites today," Sharma says.

And SpaceX is just getting started. It listed in June in the largest IPO in history, raising $75 billion and entering the public markets at a valuation of roughly $1.8 trillion. Last year, SpaceX reported $18.7 billion in total revenue, of which $11.4 billion came from its satellite internet constellation Starlink. In comparison, India's entire space economy is valued at around $8.4 billion, expected to grow to $44 billion by 2033.

There is good reason for the difference. In 2025, SpaceX launched 165 times, or one Falcon 9 flight every 2.2 days through the year, data from Space.com showed. That was nearly twice China's national output and accounted for more than 80% of all US launches. SpaceX now holds more than 80% of the global commercial launch market by mass to orbit.

The market could see another reset from Starship, SpaceX's fully reusable super-heavy rocket. On September 28, on its 14th test flight, it reached orbit for the first time, despite an engine failure that cut the mission short. It deployed 26 next-generation Starlink satellites, which SpaceX said added as much network capacity as about 20 Falcon 9 flights.

SpaceX has not disclosed what the flight cost, so the economics remain unproven. But in its IPO filing, SpaceX said the first Falcon 9 cut launch costs to about $2,700 per kg in 2010, against a historical average of $18,500. With Starship, it aims to cut that average by 99%. That would make the economics of small launch vehicles difficult to defend.

That's not all. By August, SpaceX had secured more than $8 billion in Pentagon contracts in 2026 alone. The response from Indian launch companies is to find another edge. Chennai-based Agnikul, for example, is attempting to bring reusability to the small-launch segment, while Bengaluru-based EtherealX is building a fully reusable medium-lift rocket aimed at the Falcon 9 class. For others, the answer is to build capabilities that India cannot afford to source elsewhere. "We do not believe the right strategy is to build a smaller version of SpaceX," says Immanuel Louis, Co-founder and COO of Pune-based Astrophel Aerospace. "SpaceX solved a particular problem at a global scale, but India still requires sovereign, locally manufactured and responsive space infrastructure."

Pixxel's Ahmed agrees: "Let's say, I want to get a detector from a foreign country, and for whatever reason geopolitically, the relationships go down. You don't want to be waiting for the detector," he says.

WAR AND SPACE

In 2019, when Digantara was still in incubation, it presented a concept for using LiDAR to track space objects at the International Astronautical Congress in Washington, D.C. LiDAR, or light detection and ranging, uses pulses of laser light to measure the distance and movement of objects.

At the time, space surveillance was largely controlled by governments, and private participation was minimal. Buoyed by people's interest in the project, a clear gap in the market, and a ₹25 lakh grant from the Indian Institute of Science, Digantara finally launched as a business in 2020 as a space domain awareness company. In simpler words, it was a space traffic management company, tracking debris and objects that could damage satellites. There were roughly 2,500 satellites in orbit. Their pitch deck talked about navigational safety and protecting satellite operators from collisions.